

years, given its affordable valuation,” he says. The Bandhan Nifty IT index fund’s new fund offer ran from August 18 to 28, 2023.

Despite continued global economic turbulence, worldwide IT spending is projected to increase by 5.5 per cent to a total of \$4.6 trillion in 2023 and 7-8 per cent during CY 22-27, according to a forecast by data and analytics company Gartner. “The software segment is expected to see double-digit growth as companies prioritise increased productivity and automation. With increased outsourcing, Indian IT services could grow at high single digits in dollar terms and double digits in rupee [terms],” says Basu.

16 | Ashish Gupta, CIO of Axis AMC, says IT expenses are more resilient now as more companies digitise. “We believe IT index funds can help create value and protect against market downturns. IT underperformed against the overall market during the global financial crisis, taper tantrums and Covid-19, but the rebound was sharper. Moreover, the IT sector has never underperformed the broader market for more than two years in a row,” he says.

Gupta adds that the earnings downgrade for the sector is largely done, “which is also visible in the results of US-based SaaS companies”. A majority of such companies have either maintained or upgraded their guidance midway in CY23 which also bodes well for Indian IT companies in the medium term, he says. “What is also different this time versus previous downturns is that the order book for most IT services companies has remained strong. Valuations continue to be below the three-year average and in line with five-year averages. As and when revenue growth revives, we should see the sector delivering decent returns.” For investors, that is good news indeed. **BT**

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AUTO

ELECTRIC IDENTITY

With new brand identities for their electric vehicles, Indian carmakers are all set to intensify their electric car play

BY PRERNA LIDHOO

► **AS TRADITIONAL CARMAKERS** ramp up their electric vehicles play with a view to eventually replace diesel- and petrol-run vehicles, a new brand identity makes much more sense rather than having a mixed portfolio under the same old brand. With that in mind, Tata Motors—India’s largest EV maker—has said that its EVs will be branded under the ‘ev’ suffix, adding that going forward, ‘Tata.ev’ will be the overall brand identity for

THE NEW ELECTRIC BRAND IDENTITIES ARE EXPECTED TO GENERATE MORE INTEREST AMONG CUSTOMERS

its EV business. With this, Tata Motors aims to differentiate its ICE and EV versions of the same model for the customer.

Its close competitor in the SUV space, Mahindra & Mahindra’s (M&M) newly-set-up subsidiary Mahindra Electric Automobiles Limited (MEAL), too, aims to create a new visual identity for the company’s EV

foray. Its forthcoming range of Born Electric vehicles will sport the new visual identity that was first introduced on Vision Thar.e, the electric version of the iconic SUV. “This new visual identity, symbolising ‘Infinite Possibilities,’ is the proud embodiment of our Go Global vision, representing our exciting, energising, and efficient range of EVs where iconic design meets revolutionary engineering and intuitive technologies,” Veejay Nakra, President of Automotive Sector at M&M, has said.

Experts believe it’s a good idea for Indian carmakers’ EV businesses to get a new identity as they foray into an entirely different powertrain and speak to a new set of customers. “This shows that they are a serious player in the EV market. Both brands are very aggressive especially in the electric SUV space. While Tata Motors already has the lion’s share, M&M is also very keen on making a mark with its upcoming range of EVs,” says Gaurav Vangaal, Associate Director of Light Vehicle Production Forecast for Indian Subcontinent at S&P Global Mobility. “An EV buyer is a very different buyer. This new identity will help build awareness.” **BT**

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